



ROLLER COASTER. LACKLUSTRE.

Tough. Resilient. Ask any top stock market analyst and that's how they will describe the way 2022 has panned out for Indian investors. The fallout of the Russia-Ukraine conflict, geopolitical risks, wild swings in crude oil prices, a depreciating rupee, skyrocketing inflation, successive rate hikes, macro-economic uncertainty—everything that could perhaps go wrong in a year, went wrong in 2022.

But amid this upheaval, India has relatively outperformed global peers in terms of all economic parameters, including capex spend, discretionary consumption, pick-up in banking activity, etc., and this is reflected in the Indian eq-

uity markets. While in the US the Nasdaq is down by around 29 per cent and the S&P 500 by about 17 per cent year-to-date (YTD) as of November 18, both the Nifty 50 and the BSE Sensex are up by over 5 per cent. Even in the emerging markets context, the MSCI Emerging Markets index is down 22 per cent, with Chinese equities plunging nearly 15 per cent. But only select Indian investors who were smart enough to pick the right stocks, diversify beyond the index and take risks have made good returns.

So, will 2023 be a year of wealth creation?

With little clarity on the global macro environment, experts are reluctant to call a trend for India's stock markets in the New Year. But many of them, looking at the markets from the prism of the decoupling theory—which says that different asset classes that typically rise and fall together start moving in opposite directions—believe India will outperform its peers, but

are not sure about the extent, given the all-round recessionary fears.

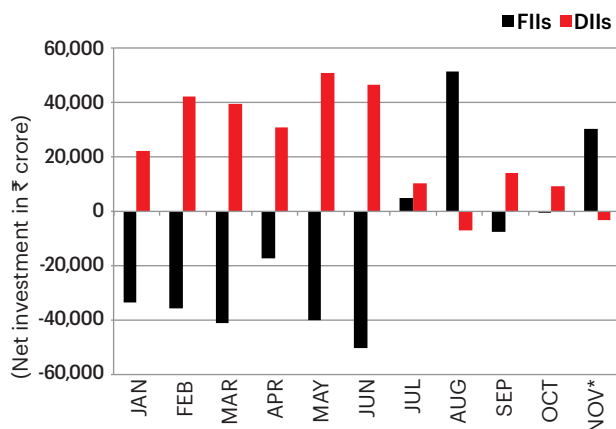
The key reason why India has been more immune to the rest of the world in 2022 is its fundamental outperformance on key parameters. For instance, credit growth in India is at a nine-year high, which is an indicator of an economy in rebound. Corporate debt-to-GDP is at a 15-year low. The worst of asset quality issues that marred the banking system are behind us. According to data from the Reserve Bank of India, capacity utilisation in manufacturing was at 72.4 per cent in Q1FY23, indicating robust demand and signalling the need for fresh investments. But come 2023, can India remain resilient when the world's largest economies are staring at the possibility of a recession?

Nilesh Shah, MD of Kotak Mahindra Asset Management Company (AMC), says it would be unfair to assume that 2023 will be the year of wealth creation and that there would not be any worry

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LOCAL SUPPORT

EVEN AS FIIs BOOKED PROFITS IN H12022, DOMESTIC INSTITUTIONAL INVESTORS RUSHED IN TO BUY INDIAN STOCKS

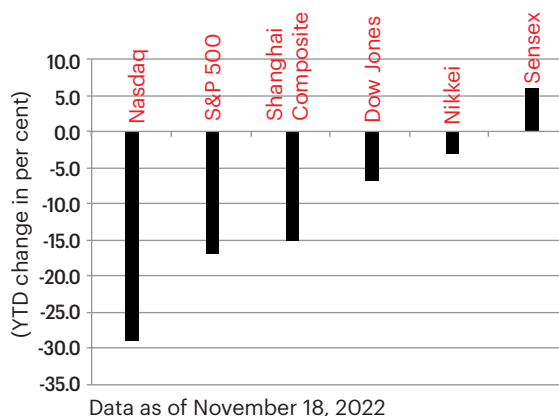


*till November 18; SOURCE ACE EQUITY

GRAPHICS BY RAJ VERMA

TR(E)ADING A SOLITARY PATH

THE BSE SENSEX HAS RELATIVELY OUTPERFORMED ITS GLOBAL PEERS SO FAR IN 2022



Data as of November 18, 2022